

SK hynix

Major AI Capex Durability Trade beneficiary available at cheap valuations; OW with a PT of W2.75mn

We maintain our bullish view on SK Hynix and the memory industry outlook. Stronger CSP cloud and AI model lab revenue momentum signals improving return on the AI capex trend, and we remain optimistic on the higher-for-longer multi-year earnings durability thesis (FY26E-28E EPS CAGR at +26%). Yet, the road to a multiple normalization (FTM P/E from <4x to 6x or above) will take time in the current market environment. Reflecting higher opportunity cost vs. the past (i.e. crystal clear capital allocation plan delivery and stronger memory consumption in AI computation thesis required to cast away the negative market narrative in the third year of the AI capex race), we reset our target multiple to 7x F12M P/E (from 8x) and extend our timeframe to Jun-27; our price target falls to W2.75mn. Risk-reward remains favorable on a 12 month horizon and we would take the recent correction as an opportunity to add positions. We recommend investors accumulate the stock.

- **Focus on the long-term order duration and customers behind LTA.** SKH reported successful LTA with ten key customers (JPME: over half of total volume largely composed of CSP and AI memory customers) and there appears to be various pricing terms (floor price, take-or-pay, prepayment, ceiling price with/without price hike terms). While there appears to be uncertainties surrounding LTA (contract details not fully disclosed due to NDA), we would like to highlight that LTA is centered around server compute applications (e.g. Server-DIMM, SOCAMM-LPDDR, and eSSD) which carry higher pricing over CE-grade memory and higher sales mix shall continue to support ASP expansion in the coming year amidst continued contract price increase.
- **HBM content optimization underway, 8Hi solution likely stays a longer shelf life product.** Key customers' recent decision for content adjustment seems to be optimization initiatives over demand correction (i.e. Total HBM procurement demand is unchanged (similar to SOCAMM content noise). Migration back to 8Hi will enable greater output to help reduce the S-D gap from 30-40% to a 10-20% gap (shortage market nature intact) and we forecast greater HBM bit shipments in the next two years (+30%/+55% y-y in FY26E-27E). We have been advocates of more realistic HBM ASP jumps next year (<40%) vs. bullish expectations (50-100% increase) and pencil in +35% blended HBM ASP increase assumption for FY27E. Albeit lower levels vs. conventional DRAM/NAND, we view HBM OPM could reach above 70% next year, ahead of FY24-25 levels.
- **Weak 2Q26 pricing momentum should reverse in 3Q26, expect consensus in-line results in 2H26E.** Slower 2Q26 DRAM ASP increase led investors to question SKH's execution in the memory business; however, we take it as a one-off quarter with multiple mix changes and price hike recognition timing issues coming together. We expect higher server DRAM ASP sequential movement vs. peers and greater HBM4 contribution to support blended DRAM ASP trend above industry average in 3Q26E. SKH also shows an industry leading NAND product mix (eSSD sales representing 70-80% of NAND sales) and its QLC solution is showing solid traction vs. peers citing slower ramp. For 3Q26E/4Q26E, we estimate W78trn/W93trn OP which is

Overweight

000660.KS, 000660 KS

Price (04 Aug 26): W1,564,000

▼ **Price Target (Jun-27): W2,750,000**
Prior (Dec-26): W3,000,000

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (W)	316,147	366,143	15.8%
Adj. EPS - 27E (W)	433,828	447,275	3.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	11,136	56,603A	103,095
Q2	9,609	131,768A	112,288
Q3	17,302	81,077	114,726
Q4	20,940	96,806	117,055
FY	58,987	366,143	447,275

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	4	24	17	80	21
Growth	2	18	91	70	33
Momentum	3	1	32	26	75
Quality	7	29	17	87	46
Low Vol	90	76	68	36	27
ESGQ	16	15	94	19	15

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	139.9%	-35.5%	8.8%	506.2%
Rel	89.0%	-14.1%	17.1%	404.2%

Company Data

Shares O/S (mn)	730
52-week range (W)	3,002,000-245,000
Market cap (\$ mn)	799,492
Exchange rate	1,429.02
Free float (%)	68.3%
3M ADV (mn)	10.60
3M ADV (\$ mn)	15,338.6
Volatility (90 Day)	120
Index	KOSPI
BBG ANR (Buy Hold Sell)	45 1 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	97,147	348,253	537,307	676,756
Adj. EBIT	47,206	268,932	424,425	525,584
Adj. EBITDA	61,136	286,516	451,195	565,772
Adj. net income	42,948	265,885	328,866	409,319
Adj. EPS	58,987	366,143	447,275	574,774
BBG EPS	57,254	344,556	471,571	516,465
Cashflow from operations	59,989	262,659	329,149	419,868
FCFF	29,079	213,390	265,169	333,152
Margins and Growth				
Revenue Growth Y/Y (%)	46.8%	258.5%	54.3%	26.0%
EBIT margin	48.6%	77.2%	79.0%	77.7%
EBIT Growth Y/Y (%)	101.2%	469.7%	57.8%	23.8%
EBITDA margin	62.9%	82.3%	84.0%	83.6%
EBITDA Growth Y/Y (%)	69.6%	368.6%	57.5%	25.4%
Net margin	44.2%	76.3%	61.2%	60.5%
Adj. EPS growth	116.9%	520.7%	22.2%	28.5%
Ratios				
Adj. tax rate	14.9%	23.2%	23.5%	23.5%
Interest cover	142.4	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	44.1%	97.7%	56.7%	46.7%
Valuation				
FCFF yield	2.6%	18.8%	23.1%	29.9%
Dividend yield	0.2%	2.4%	6.2%	4.8%
EV/Revenue	11.6	2.7	1.3	0.7
EV/EBITDA	18.5	3.3	1.6	0.9
Adj. P/E	26.5	4.3	3.5	2.7

Summary Investment Thesis and Valuation

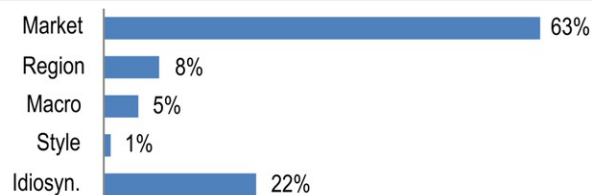
Investment Thesis

Our OW rating on SK hynix is based on the company's solid AI solution execution capability, which has substantially improved its earnings generation capability. We believe we are in the early stages of a memory up-cycle, and improving conventional fundamentals put SKH in a positive position, as the pure memory business carries a higher beta.

Valuation

Our Jun-27 PT of W2.75M is based on 7x average FY26-27E EPS (vs. previous 8x and W3M price target) to reflect a stronger and longer memory upcycle view, which we think provides durability and sustainability to SKH's substantially improved earnings capability over the next three years.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.87	0.79
Region: Korea	0.50	0.50
Macro:		
Citi Economic Surprise - EM	0.25	0.24
JPM Global Equity Sentiment	-0.28	-0.24
JP Morgan GBI-EM Global Div	-0.20	-0.21
Quant Styles:		
Quality	0.07	0.15
Growth	-0.13	-0.14
Value	0.06	0.10

largely in-line with recent consensus expectations.

- **SLC and HBF, the new emerging catalysts in the NAND space.** SKH and a US NAND maker disclosed the industry's first HBF (high-bandwidth flash) specification at the FMS 2026 event yesterday ([link](#)). Google and Tenstorrent are key ecosystem partners and the company believes HBF is a key technology to resolve bandwidth and capacity scalability challenges. Capacity specifications cover up to 512GB based on a two-stack configuration (8-Hi and 16-Hi dies) and there are various grades of bandwidth offerings, ranging 0.4-3.0TB/s. This is part of SKH's full-scale AI-centric NAND line-up strategy and is an extension to its SLC-based eSSD development. SKH also plans to reveal its V10 375-layer 4D NAND at FMS with a mass production target by early next year. We look forward to hearing specifics and strategy updates at FMS this week.
- **Next key catalyst: shareholder return under review.** Memory sector and stock narrative is moving away from EPS growth and momentum to the duration of the cycle. Clear stance on capital allocation is imperative, in our view, to restore stock sentiment after a 46% pullback from the recent peak in June (vs. Kospi -30% or memory peers -33%) and we believe that a buyback could demonstrate clear evidence on how management perceives the duration of the up-cycle. While we await the official capital allocation and return program update by year-end, we view a buyback announcement to be a key catalyst for the stock (JPMe: within the next couple of months).
- **Earnings estimate revisions and key risks.** Compared to our May-26 published estimates ([link](#)), we make a 3-16% EPS upward revision through FY26E-28E (higher NP in FY26E due mainly to Kioxia stake sales impact and FY27E-28E increase at 3-7%). This is based on: i) higher 2H26E DRAM ASP trend (prev. +10%/+5% increase for 3Q/4Q); ii) higher NAND ASP from a stronger 2Q26 base; iii) HBM ASP upward revision to reflect ongoing HBM industry S-D mismatch; and iv) higher memory bit production (mainly DRAM) reflecting capacity pull-in and faster technology migration. Higher capex is also one of the reasons beyond higher bit supply and we raise our FY26E-28E projection to W187trn (vs. W175trn in the past). On the other hand, for FY27E-28E, we have assumed price stabilization to factor in the growing LTA mix, and price hike clause inclusion for existing LTA remains an upside risk, in our view. Key downside risks to our PT/estimates are: a) an unexpected slowdown in AI capex investment plans; b) a slowdown in memory ASP from weaker B2C demand; iii) an influx of advanced node supplies from Chinese competitors; and iv) HBM4/4E production hiccup.

Earnings estimate revisions

Table 1: SK hynix – earnings estimate revisions

Won in billions, year-end December

	Revised			Prior			Difference		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
DRAM Shipments (8Gb equiv.)	13,827	17,322	21,354	13,224	15,853	19,024	4.6	9.3	12.2
ASP (US\$, 8Gb equiv.)	13.1	16.8	18.2	13.9	17.1	17.8	-5.8	-1.4	2.0
NAND shipments (256Gb equiv.)	6,222	7,389	8,695	6,275	7,494	8,858	-0.8	-1.4	-1.8
ASP (US\$, 256Gb equiv.)	9.2	11.2	10.8	8.9	10.5	9.7	2.7	7.2	10.7
Sales	348,253	537,307	676,756	347,547	490,631	597,583	0.2	9.5	13.2
DRAM sales	263,413	417,338	543,876	265,079	379,390	475,128	-0.6	10.0	14.5
NAND (Inc. MCP) sales	84,840	119,969	132,881	82,468	111,241	122,454	2.9	7.8	8.5
Operating profit	268,932	424,425	525,584	275,573	393,141	469,691	-2.4	8.0	11.9
OP margin, %	77.2	79.0	77.7	79.3	80.1	78.6	-2.1	-1.1	-0.9
DRAM OP	211,000	338,916	434,539	217,640	311,887	384,648	-3.1	8.7	13.0
NAND+MCP OP	58,088	85,509	91,045	57,933	81,254	85,043	0.3	5.2	7.1
Net Income	265,922	328,866	409,319	227,732	312,303	375,614	16.8	5.3	9.0
EPS (Won)	366,143	447,275	574,774	316,147	433,828	539,093	15.8	3.1	6.6

Source: J.P. Morgan estimates.

Table 2: SK hynix – J.P. Morgan estimates vs Street consensus

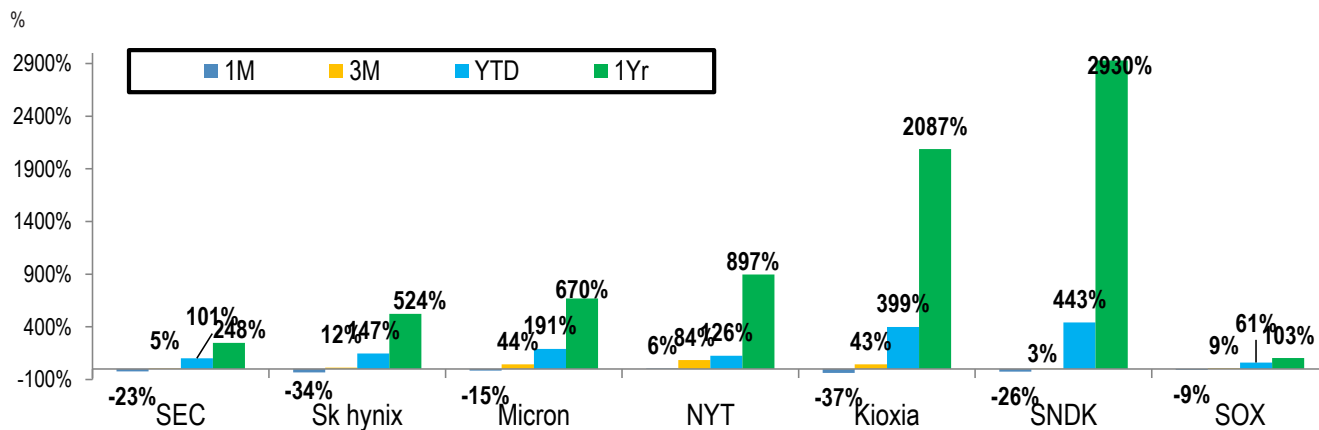
Won in billions, year-end December

	JPM estimates				Market consensus				Difference			
	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E
Sales	98,775	117,582	348,253	537,307	100,892	115,833	348,970	542,975	-2%	2%	0%	-1%
OP	77,535	93,244	268,932	424,425	79,159	91,644	268,885	424,946	-2%	2%	0%	0%
NP	59,652	71,965	265,922	328,866	62,800	71,362	255,967	343,963	-5%	1%	4%	-4%

Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: Market consensus based on the last 28 days' Bloomberg estimates.

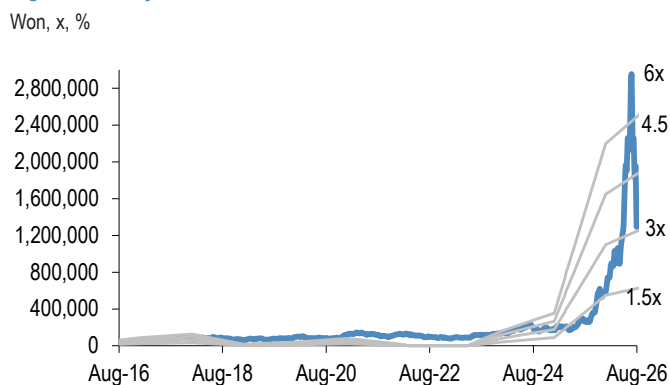
Share price related charts

Figure 1: Share price performance vs memory peers



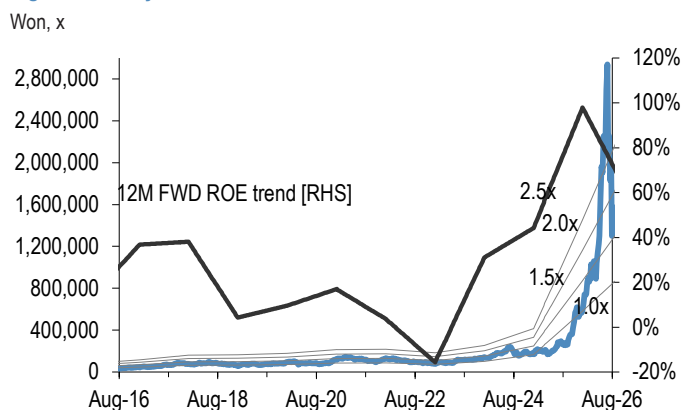
Source: Bloomberg Finance L.P.

Figure 2: SK hynix – 12M forward P/E bands



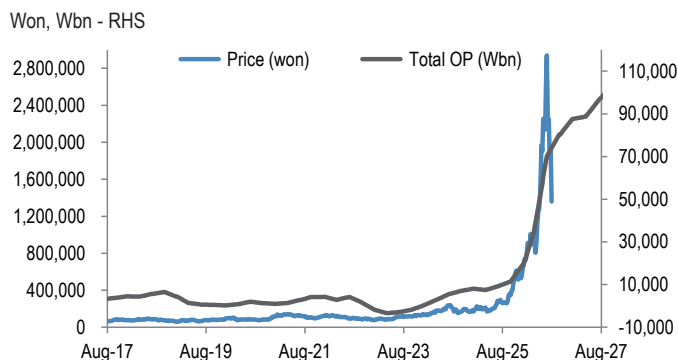
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: SK hynix – 12M forward P/B bands and ROE trend



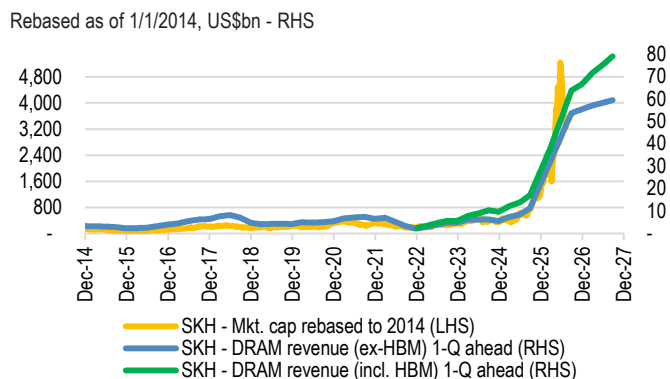
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 4: SKH share price vs quarterly OP trend



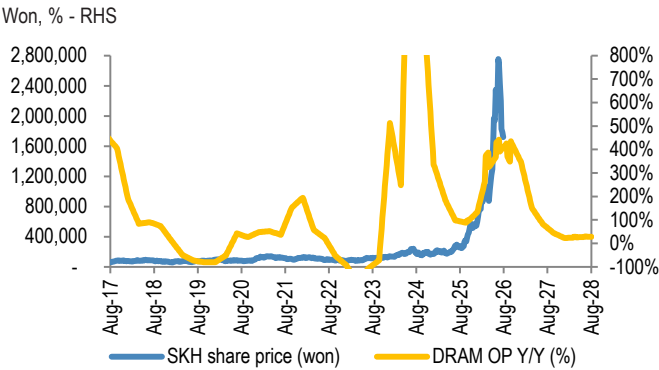
Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P. Note: 3Q26 onwards are J.P. Morgan estimates

Figure 5: SKH market cap vs DRAM revenue comparison (1Q ahead)



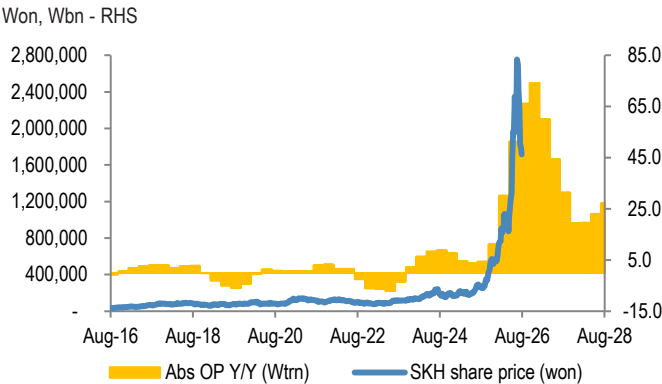
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 3Q26 onwards are J.P. Morgan estimates.

Figure 6: Share price vs total OP Y/Y trend



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 3Q26 onwards are JPM OP estimates.

Figure 7: Share price vs absolute total OP Y/Y trend



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 3Q26 onwards are JPM OP estimates.

Key business charts and tables

Table 3: SK hynix: Key assumptions for DRAM business

Units in 8Gb eq., W in billions; year-end Dec

8Gb equiv.	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
ASP (US\$)	4.3	4.4	4.6	5.6	9.1	11.8	14.2	16.0	16.2	16.8	17.1	17.3	3.7	4.8	13.1	16.8	18.2
Seq. change, %	0.7	1.5	4.3	23.1	62.5	29.7	20.2	12.2	1.2	4.0	1.4	1.3	79.1	30.1	174.7	28.9	8.0
Operating cost (US\$)	2.1	2.0	1.9	1.8	2.1	2.5	2.7	3.0	3.0	3.1	3.2	3.3	2.0	1.9	2.6	3.2	3.7
Cash Cost (US\$)	1.5	1.5	1.4	1.3	1.6	1.9	2.1	2.3	2.2	2.3	2.3	2.4	1.5	1.4	2.0	2.3	2.5
Cost change, %	-5%	-4%	-4%	-3%	14%	19%	9%	9%	1%	5%	3%	3%	-1%	-4%	34%	22%	16%
Cash cost chg. %	-10%	-1%	-5%	-5%	16%	25%	7%	10%	-3%	3%	1%	1%	7%	-3%	40%	16%	10%
Shipments (mn)	2,242	2,795	3,013	3,028	3,014	3,240	3,583	3,989	4,111	4,245	4,397	4,569	8,933	11,077	13,827	17,322	21,354
Seq. change, %	-7.1	24.7	7.8	0.5	-0.4	7.5	10.6	11.3	3.1	3.3	3.6	3.9	16.0	24.0	24.8	25.3	23.3
Sales	14,037	17,124	19,084	24,659	40,195	57,578	74,493	91,147	95,051	102,076	107,278	112,933	44,732	74,904	263,413	417,338	543,876
OP	7,337	9,378	11,124	16,574	30,962	45,491	60,311	74,236	77,523	83,111	87,023	91,258	20,259	44,413	211,000	338,916	434,539
OP margin (%)	52	55	58	67	77	79	81	81	82	81	81	81	45	59	80	81	80
Revenue per wafer (US\$)	8,829	11,023	12,071	14,546	22,659	30,465	38,219	46,188	54,707	56,652	56,195	57,227	8,035	11,669	34,704	56,232	74,852
HBM Sales (US\$M)	4,093	4,871	5,367	5,855	5,698	6,077	7,861	10,081	11,136	14,378	16,818	19,548	9,232	20,186	29,718	61,880	107,129
HBM Sales mix (%)	29.2	28.4	28.1	23.7	14.2	10.6	10.6	11.1	11.7	14.1	15.7	17.3	20.6	26.9	11.3	14.8	19.7
HBM bit shipment (8Gb equiv., mn)	311	354	380	423	405	425	500	567	620	684	766	864	726	1,468	1,897	2,934	4,044
HBM bit mix (%)	13.9	12.7	12.6	14.0	13.5	13.1	14.0	14.2	15.1	16.1	17.4	18.9	8.1	13.3	13.7	16.9	18.9
HBM ASP (1Gb/US\$)	1.6	1.7	1.8	1.7	1.8	1.8	2.0	2.2	2.2	2.6	2.7	2.8	1.6	1.7	2.0	2.6	3.3
HBM ASP premium vs. non-HBM (x)	4.6	4.6	4.4	3.2	1.7	1.2	1.1	1.1	1.1	1.3	1.4	1.4	4.5	4.1	1.2	1.3	1.6
HBM capacity (TSV equivalent, K/month)	145	155	160	170	190	200	210	220	235	250	280	300	99	158	205	266	335

Source: Company data, J.P. Morgan estimates.

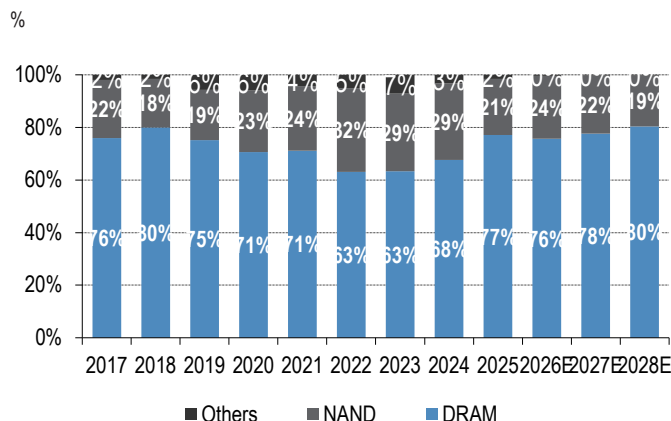
Table 4: SK hynix – Key assumptions in the NAND business

Units in 256Gb. equivalent, Won in billions, year-end December

256Gb equiv.	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
ASP US\$ (256Gb equiv.)	2.6	2.3	2.6	3.5	6.0	9.1	10.2	10.8	11.0	11.5	11.3	11.0	3.0	2.8	9.2	11.2	10.8
Q/Q ASP, %	-19.5	-10.4	11.0	33.4	72.5	53.0	12.0	6.0	2.0	4.0	-2.0	-2.0	96.4	-6.6	229.9	22.3	-3.7
Operating cost (US\$)	0.6	0.6	0.6	0.6	0.6	0.7	0.7	0.7	0.7	0.8	0.8	0.8	0.6	0.6	0.7	0.8	0.8
Cash Cost (US\$)	0.4	0.5	0.5	0.4	0.5	0.6	0.6	0.6	0.6	0.7	0.7	0.7	0.4	0.4	0.6	0.7	0.7
Cost change, %	-2%	-4%	2%	-7%	12%	5%	6%	3%	1%	3%	4%	5%	-11%	-3%	15%	12%	6%
Cash cost chg. %	-14%	19%	1%	-1%	13%	10%	4%	9%	1%	3%	4%	5%	-7%	4%	30%	18%	5%
Shipments (64Gb equiv.)	854	1,447	1,388	1,547	1,377	1,562	1,602	1,682	1,749	1,819	1,892	1,929	4,749	5,236	6,222	7,389	8,695
Q/Q or Y/Y change, %	-17.6	69.5	-4.1	11.4	-11.0	13.5	2.5	5.0	4.0	4.0	4.0	2.0	-1.8	10.3	18.8	18.7	17.7
Sales	3,229	4,728	4,989	7,744	11,980	21,374	23,883	26,035	27,618	29,872	30,445	30,433	19,274	20,690	83,272	118,369	131,281
OP	81	-189	234	2,579	6,781	15,026	17,196	18,980	20,217	21,956	21,921	21,303	3,115	2,705	57,983	85,396	90,932
OP margin (%)	3	-4	5	33	57	70	72	73	73	74	72	70	16	13	70	72	69
Revenue per wafer (US\$)	2,648	4,022	4,283	6,363	9,768	16,963	19,474	21,674	22,992	24,868	25,346	25,336	4,204	4,331	16,946	24,636	27,908

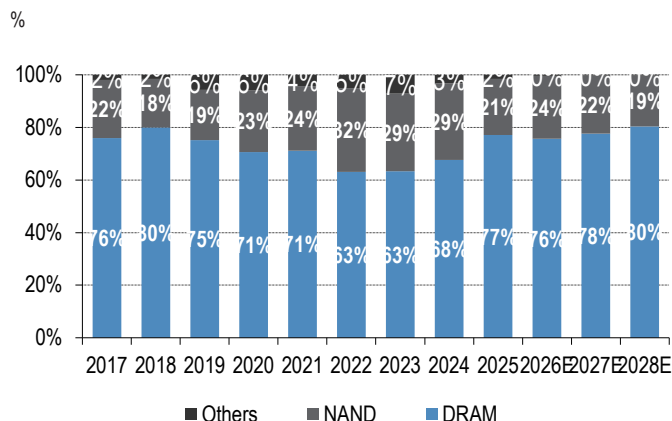
Source: Company data, J.P. Morgan estimates.

Figure 8: SK hynix – Revenue breakdown



Source: Company data, J.P. Morgan estimates.

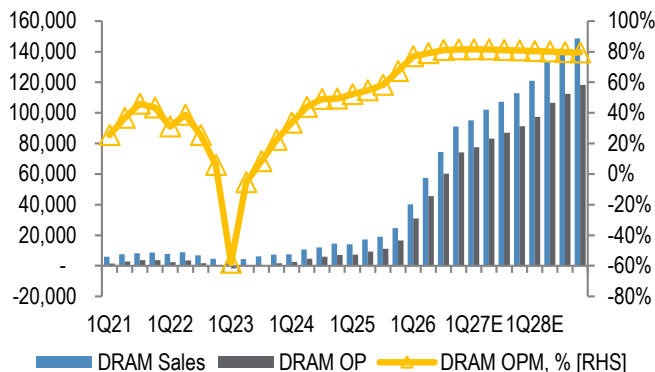
Figure 9: SK hynix – Operating profit contribution



Source: Company data, J.P. Morgan estimates. Note: Negative earnings in FY23.

Figure 10: SK hynix – DRAM quarterly sales/OP/OPM trend

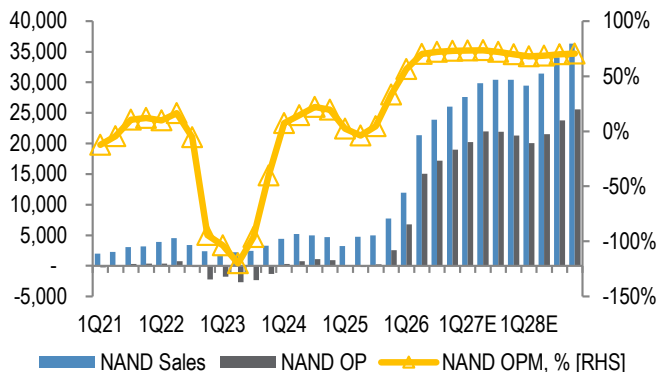
Won in billions, OPM (%)



Source: Company data, J.P. Morgan estimates.

Figure 11: SK hynix – NAND quarterly sales/OP/OPM trend

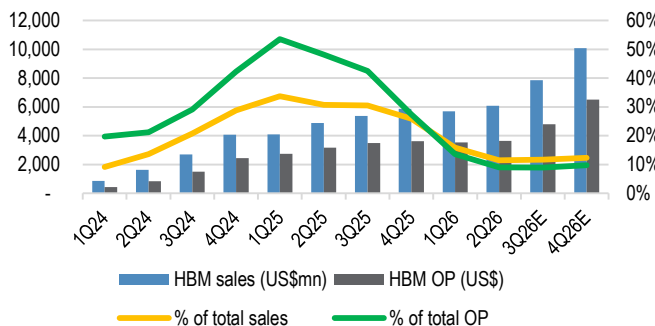
Won in billions, OPM (%)



Source: Company data, J.P. Morgan estimates.

Figure 12: SK hynix HBM sales/bit % contribution to DRAM

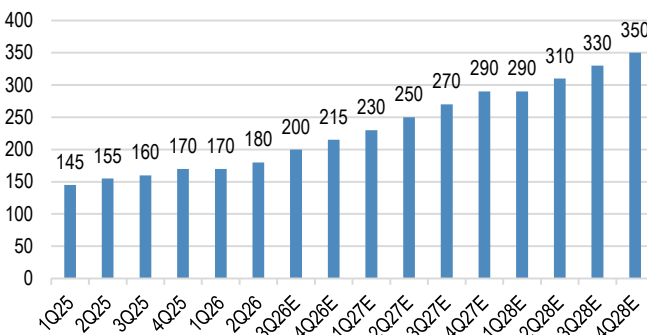
US\$m, % - RHS



Source: Company data, J.P. Morgan estimates.

Figure 13: SK hynix HBM backend capacity trend

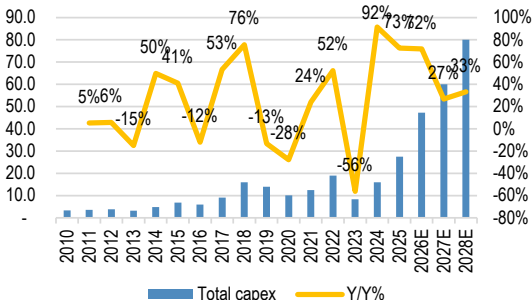
Kwfp



Source: Company data, J.P. Morgan estimates.

Figure 14: SKH – total capex and Y/Y% trend

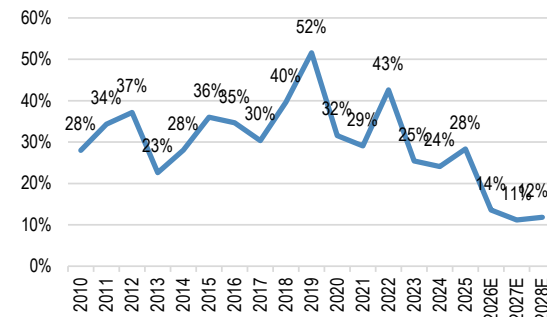
Wtrn, % - RHS



Source: Company data, J.P. Morgan estimates. Note: Capital intensity = capex / sales

Figure 15: SKH – Capital intensity

%



Source: Company data, J.P. Morgan estimates. ; Note: Capital intensity = capex/sales.

Table 5: SKH: Earnings model

Won in billions

(W in billion)	2025				2026E				2027E				2024	2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE					
Revenue	17,639	22,232	24,449	32,827	52,576	79,319	98,775	117,582	123,069	132,348	138,124	143,766	66,193	97,147	348,253	537,307	676,756
DRAM	14,037	17,124	19,084	24,659	40,195	57,578	74,493	91,147	95,051	102,076	107,278	112,933	44,732	74,904	263,413	417,338	543,876
NAND Flash	3,229	4,728	4,989	7,744	11,980	21,374	23,883	26,035	27,618	29,872	30,445	30,433	19,274	20,690	83,272	118,369	131,281
Others	373	380	376	423	401	367	400	400	400	400	400	400	2,187	1,552	1,568	1,600	1,600
Depreciation	-3,124	-3,249	-3,360	-3,366	-3,519	-3,820	-4,569	-4,848	-5,484	-6,119	-6,775	-7,477	-12,582	-13,930	-17,584	-26,770	-40,188
COGS	7,537	10,249	10,420	10,250	10,897	13,327	14,326	14,932	15,948	17,194	18,655	20,250	-34,365	-38,456	-53,482	-72,047	-98,385
Gross Profit	10,102	11,983	14,029	22,576	41,679	65,992	84,449	102,650	107,121	115,154	119,469	123,516	31,828	58,691	294,771	465,260	578,371
SG&A Expenses	2,661	2,770	2,646	3,407	4,069	5,449	6,914	9,407	9,353	10,058	10,497	10,926	8,361	11,484	25,839	40,835	52,787
% of Revenue (%)	15	12	11	10	8	7	7	8	8	8	8	8	13	12	7	8	8
EBIT	7,441	9,213	11,383	19,170	37,766	60,543	77,535	93,244	97,768	105,096	108,972	112,590	23,467	47,206	268,932	424,425	525,584
DRAM	7,337	9,378	11,124	16,574	30,962	45,491	60,311	74,236	77,523	83,111	87,023	91,258	20,259	44,413	211,000	338,916	434,539
Margin (%)	52	55	58	67	77	79	81	81	82	81	81	81	45	59	80	81	80
Flash/SRAM	81	-189	234	2,579	6,781	15,026	17,196	18,980	20,217	21,956	21,921	21,303	3,115	2,705	57,983	85,396	90,932
Margin (%)	3	-4	5	33	57	70	72	73	73	74	72	70	16	13	70	72	69
Others	23	24	25	16	23	26	28	28	28	28	28	28	94	88	105	113	113
Margin (%)	6	6	7	4	6	7	7	7	7	7	7	7	4	6	7	7	7
Net Interest Income	-126	-129	-103	-72	22	150	226	533	750	728	1,008	1,519	-1,000	-429	932	4,006	7,431
Net Other Income	1,985	-361	3,510	-1,445	13,985	62,016	172	243	264	299	321	342	1,418	3,689	76,416	1,227	1,755
Pre Tax Profit	9,299	8,723	14,790	17,653	51,773	122,708	77,934	94,021	98,782	106,123	110,301	114,452	23,885	50,466	346,435	429,658	534,769
Tax	1,191	1,726	2,193	2,407	11,271	28,786	18,282	22,056	23,173	24,895	25,875	26,849	4,088	7,518	80,395	100,792	125,450
Extraordinary gain(loss)	-	1	- 2.34	- 26.17	- 15.73	- 102.36	-	-	-	-	-	-	0	-28	-118	0	0
Net Profit	8,108	6,997	12,595	15,220	40,330	93,820	59,652	71,965	75,609	81,228	84,426	87,603	19,797	42,920	265,922	328,866	409,319
EPS (W)	11,136	9,610	17,299	20,904	56,581	131,624	81,077	96,806	103,095	112,288	114,726	117,055	27,190	58,987	366,143	447,275	574,774
Margins (%)																	
Gross Margin	57	54	57	69	79	83	85	87	87	87	86	86	48	60	85	87	85
Operating Margin	42	41	47	58	72	76	78	79	79	79	79	78	35	49	77	79	78
EBITDA Margin	60	56	60	69	79	81	83	83	84	84	84	84	54	63	82	84	84
Net Margin	46	31	52	46	77	118	60	61	61	61	61	61	30	44	76	61	60
Sequential Growth (%)																	
Revenue	-11	26	10	34	60	51	25	19	5	8	4	4	102	47	258	54	26
Gross Profit	-3	19	17	61	85	58	28	22	4	7	4	3	na	84	402	58	24
EBIT	-8	24	24	68	97	60	28	20	5	7	4	3	na	101	470	58	24
Net Profit	1	-14	80	21	165	133	-36	21	5	7	4	4	na	117	520	24	24
EPS	1	-14	80	21	171	133	-38	19	6	9	2	2	na	117	521	22	29
EBITDA	10,565	12,462	14,744	22,536	41,284	64,363	82,104	98,092	103,252	111,214	115,747	120,067	35,453	60,306	285,843	450,281	564,744
CAPEX	-6,284	-4,332	-5,032	-11,871	-7,657	-10,671	-13,000	-16,000	-14,500	-14,500	-15,000	-16,000	-15,946	-27,519	-47,328	-60,000	-80,000

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

SK hynix (*Overweight; Price Target: W2,750,000*)

Investment Thesis

Our OW rating on SK hynix is based on the company's solid AI solution execution capability, which has substantially improved its earnings generation capability. We believe we are in the early stages of a memory up-cycle, and improving conventional fundamentals put SKH in a positive position, as the pure memory business carries a higher beta.

Valuation

Valuation

Our Jun-27 PT of W2.75M is based on 7x average FY26-27E EPS (vs. previous 8x and W3M price target) to reflect a stronger and longer memory upcycle view, which we think provides durability and sustainability to SKH's substantially improved earnings capability over the next three years.

Risks to Rating and Price Target

Key downside risks include lower-than-expected DRAM prices and margins, and uncertainty around end demand/inventories.

Key upside catalysts include further DRAM ASP rallies, led by stronger-than-expected demand.

SK hynix: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	66,193	97,147	348,253	537,307	676,756	Cash flow from operating activities	34,366	59,989	262,659	329,149	419,868
COGS	(21,783)	(24,526)	(35,898)	(45,277)	(58,197)	o/w Depreciation & amortization	12,582	13,930	17,584	26,770	40,188
Gross profit	31,828	58,691	294,771	465,260	578,371	o/w Changes in working capital	1,987	3,111	(20,810)	(26,486)	(29,640)
SG&A	(257)	(484)	(478)	(480)	(480)	Cash flow from investing activities	(20,296)	(43,003)	(123,224)	(60,914)	(81,028)
Adj. EBITDA	36,049	61,136	286,516	451,195	565,772	o/w Capital expenditure	(20,034)	(31,275)	(48,553)	(60,914)	(81,028)
D&A	(12,582)	(13,930)	(17,584)	(26,770)	(40,188)	as % of sales	30.3%	32.2%	13.9%	11.3%	12.0%
Adj. EBIT	23,467	47,206	268,932	424,425	525,584	Cash flow from financing activities	(8,834)	3,801	34,578	(17,567)	(126,743)
Net Interest	(1,000)	(429)	932	4,006	7,431	o/w Dividends paid	(826)	(1,036)	(2,107)	(26,677)	(67,509)
Adj. PBT	23,885	50,466	346,280	429,658	534,769	o/w Shares issued/(repurchased)	1,711	5,454	6,369	25	(151)
Tax	(4,088)	(7,518)	(80,395)	(100,792)	(125,450)	o/w Net debt issued/(repaid)	(6,785)	(436)	(4,288)	(1,144)	(1,014)
Minority Interest	-	-	-	-	-	Net change in cash	5,235	20,786	174,013	250,669	212,097
Adj. Net Income	19,797	42,948	265,885	328,866	409,319	Adj. Free cash flow to firm	15,161	29,079	213,390	265,169	333,152
Reported EPS	27,190	58,987	366,143	447,275	574,774	y/y Growth	-2695.7%	91.8%	633.8%	24.3%	25.6%
Adj. EPS	27,190	58,987	366,143	447,275	574,774						
DPS	2,204	3,000	38,000	96,192	75,000						
Payout ratio	8.1%	5.1%	10.4%	21.5%	13.0%						
Shares outstanding	728	728	726	735	712						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	14,156	34,942	208,955	459,624	671,721	Gross margin	48.1%	60.4%	84.6%	86.6%	85.5%
Accounts receivable	13,019	18,199	70,890	86,676	111,718	EBITDA margin	54.5%	62.9%	82.3%	84.0%	83.6%
Inventories	13,314	14,289	26,662	32,600	42,018	EBIT margin	35.5%	48.6%	77.2%	79.0%	77.7%
Other current assets	1,790	2,027	3,492	4,146	5,194	Net profit margin	29.9%	44.2%	76.3%	61.2%	60.5%
Current assets	42,279	69,458	309,999	583,046	830,651	ROE	31.1%	44.1%	97.7%	56.7%	46.7%
PP&E	60,157	77,503	108,472	142,616	183,456	ROA	18.0%	29.0%	76.1%	48.7%	42.0%
LT investments	13,400	25,097	99,534	99,534	99,534	ROCE	21.7%	33.5%	70.6%	54.4%	45.0%
Other non current assets	4,019	4,049	4,283	4,283	4,283	SG&A/Sales	0.4%	0.5%	0.1%	0.1%	0.1%
Total assets	119,855	176,108	522,288	829,479	1,117,924	Net debt/Equity	0.1	NM	NM	NM	NM
Short term borrowings	5,252	8,162	5,855	5,848	5,842	Net debt/EBITDA	0.2	NM	NM	NM	NM
Payables	2,277	2,848	3,011	3,274	3,397	Sales/Assets (x)	0.6	0.7	1.0	0.8	0.7
Other short term liabilities	17,436	26,369	71,924	67,553	73,299	Assets/Equity (x)	1.7	1.5	1.3	1.2	1.1
Current liabilities	24,965	37,379	80,790	76,675	82,538	Interest cover (x)	36.0	142.4	NM	NM	NM
Long-term debt	17,431	14,086	12,105	10,967	9,959	Operating leverage	-395.6%	216.3%	181.7%	106.5%	91.8%
Other long term liabilities	3,543	3,976	5,661	6,127	6,633	Tax rate	17.1%	14.9%	23.2%	23.5%	23.5%
Total liabilities	45,940	55,441	98,556	93,770	99,130	Revenue y/y Growth	102.0%	46.8%	258.5%	54.3%	26.0%
Shareholders' equity	73,916	120,667	423,733	735,709	1,018,794	EBITDA y/y Growth	506.5%	69.6%	368.6%	57.5%	25.4%
Minority interests	-	-	-	-	-	EPS y/y Growth	-316.7%	116.9%	520.7%	22.2%	28.5%
Total liabilities & equity	119,855	176,108	522,288	829,479	1,117,924						
BVPS	101,520	165,731	581,978	1,017,030	1,458,776						
y/y Growth	38.2%	63.2%	251.2%	74.8%	43.4%						
Net debt/(cash)	8,527	(12,694)	(190,996)	(442,809)	(655,919)						

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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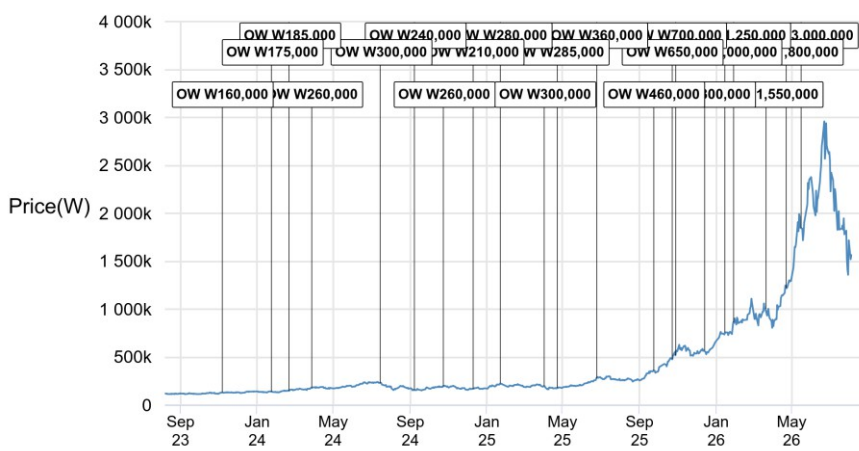
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SK hynix (000660.KS, 000660 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
07-Nov-23	OW	133000	160,000
25-Jan-24	OW	141500	175,000
22-Feb-24	OW	149000	185,000
28-Mar-24	OW	181200	260,000
16-Jul-24	OW	230000	300,000
08-Sep-24	OW	156400	240,000
24-Oct-24	OW	196000	260,000
10-Dec-24	OW	168900	210,000
23-Jan-25	OW	225500	280,000
03-Apr-25	OW	197900	300,000
24-Apr-25	OW	181000	285,000
25-Jun-25	OW	278500	360,000
24-Sep-25	OW	361000	460,000
23-Oct-25	OW	481000	650,000
29-Oct-25	OW	519000	700,000
14-Dec-25	OW	571000	800,000
16-Jan-26	OW	756000	1,000,000
29-Jan-26	OW	862000	1,250,000
22-Mar-26	OW	1006000	1,550,000
23-Apr-26	OW	1220000	1,800,000
17-May-26	OW	1848000	3,000,000

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